

Lotes (3533 TT)

 Target price: **TWD3,000.00** (from TWD2,000.00)

 Share price (26 Mar): **TWD2,270.00** | Up/downside: **+32.2%**

5 4 3 2 1


Buy
 (unchanged)

Momentum strengthens as tailwinds align

- Agentic AI driving incremental demand for regular servers
- New opportunities from NPO/CPO sockets
- Reiterating our Buy (1) rating; raising 12-month TP to TWD3,000

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What's new: We expect Lotes to be one of the key beneficiaries of the regular server upcycle due to increasing inference demand.

What's the impact: Rising demand from regular servers for inference tasks. As we highlighted in our [sector flash](#) (23 March), we believe: 1) Agentic AI is driving higher inference demand than before; and 2) CPU servers can handle some inference tasks (likely the low-end part), while high-end inference will still be conducted by ASIC AI servers, considering the total cost per token. Thus, the market expects regular server shipments to grow by 30% YoY globally in 2026 with potential upside. However, Lotes' management argues that "random shortage" will constrain the total regular server shipments globally in 2026 (Lotes targets growth of 15-20% YoY). If we look at the bigger picture for the next 2-3 years, we believe regular server demand will further be driven by rising inference requirements. As such, we expect the unmet demand will likely be pushed out to 2027. In this note, we adjust our growth assumption to c.20% and 16% YoY for Lotes' regular server shipments in 2026E and 2027E, respectively.

New growth opportunities. During its 4Q25 results call, Lotes unveiled its target to achieve c.20% of total sales from new growth opportunities in 2026 (including QD, SOCAMM, NPO sockets, inner busbars, LGA connectors, high speed cables/connectors, etc.). NPO sockets are among the hottest topics for investors currently. We expect c.30m units of optical engines to be used within Nvidia's scale-up and scale-out switches in 2026, with each using one NPO socket at an ASP of USD10-15. Considering Lotes' 30% market share globally, this NPO story should bring an additional c.6% of total revenue contribution for the company in 2027, on our estimates. Although we are not as bullish as other investors on the NPO contribution, we expect this to be a good catalyst for Lotes to further re-rate on valuation grounds. In the near term, we see several tailwinds coming together to boost sentiment on the stock.

What we recommend: We lift our 2026-27E EPS by 2-9% to factor in our higher regular server shipment assumptions. We also introduce our 2028 EPS in this note. We reaffirm our Buy (1) rating and raise our 12M TP to TWD3,000 (from TWD2,000), based on a higher PER of 26x (from 18x; the high end of its past-5-year range of 10-28x) applied to our 1-year forward EPS, to factor in the new growth opportunities. Our 2025-28E EPS CAGR of 31% implies a PEG of 0.84x at our TP, which we consider undemanding. Key downside risk: lower-than-expected adoption of server CPU platforms.

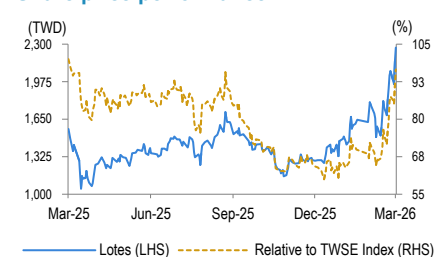
How we differ: Our 2026-28E EPS are 3-28% higher than the consensus, likely due to our more aggressive regular server shipment forecasts.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	1.3	7.4	n.a.
Net profit change	1.7	8.9	n.a.
Core EPS (FD) change	1.7	8.9	n.a.

Source: Daiwa forecasts

Share price performance



12-month range	1,050.00-2,270.00
Market cap (USDbn)	8.00
3m avg daily turnover (USDm)	94.00
Shares outstanding (m)	113
Major shareholder	Chin Ling Invest Co. Ltd. (10.6%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	41,196	50,224	57,786
Operating profit (m)	14,157	18,759	22,550
Net profit (m)	11,167	14,612	17,637
Core EPS (fully-diluted)	99.233	129.845	156.727
EPS change (%)	42.0	30.8	20.7
Daiwa vs Cons. EPS (%)	3.4	11.8	28.2
PER (x)	22.9	17.5	14.5
Dividend yield (%)	1.5	2.2	2.9
DPS	35.0	50.0	65.0
PBR (x)	5.6	4.7	3.9
EV/EBITDA (x)	13.0	9.9	8.0
ROE (%)	26.6	29.1	29.5

Source: FactSet, Daiwa forecasts

Lotes: Daiwa's revenue and earnings forecasts vs. the consensus

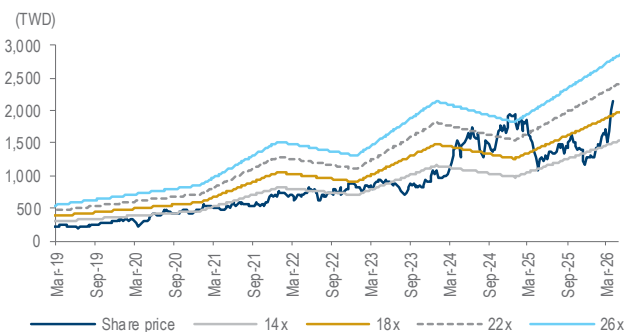
(TWDm)	2026E			2027E			2028E		
	Previous	New	Consensus	Previous	New	Consensus	Previous	New	Consensus
Revenue	40,670	41,196	39,555	46,753	50,224	45,505	n.a.	57,786	49,558
Diff (%)		1.3%	4.1%		7.4%	10.4%		n.a.	16.6%
Gross margin (%)	52.5%	52.6%	51.9%	53.9%	54.3%	52.8%	n.a.	55.3%	n.a.
Operating profit	13,912	14,157	13,122	17,249	18,759	16,102	n.a.	22,550	16,867
Operating margin (%)	34.2%	34.4%	33.2%	36.9%	37.4%	35.4%	n.a.	39.0%	34.0%
Net profit	10,978	11,167	10,803	13,416	14,612	13,071	n.a.	17,637	13,754
EPS (TWD)	97.55	99.23	96.00	119.21	129.85	116.15	n.a.	156.73	122.22
Diff (%)		1.7%	3.4%		8.9%	11.8%		n.a.	28.2%

Source: Bloomberg, Daiwa forecasts

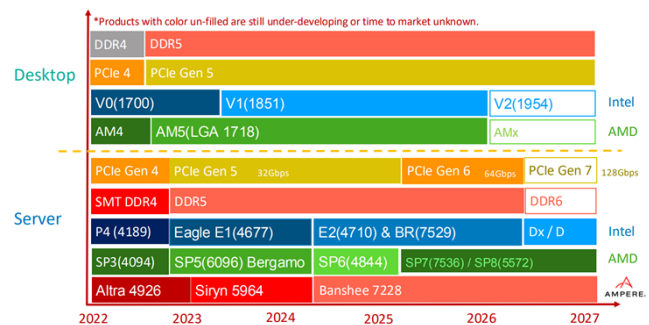
Lotes: quarterly and annual P&L statement

(TWDm)	2026E				2027E				2025	2026E	2027E	2028E
	1QE	2QE	3QE	4QE	1QE	2QE	3QE	4QE				
Net revenue	8,870	9,846	11,061	11,419	11,158	12,319	13,256	13,491	33,783	41,196	50,224	57,786
COGS	-4,289	-4,703	-5,222	-5,302	-5,141	-5,645	-6,059	-6,087	-16,450	-19,517	-22,932	-25,822
Gross profit	4,580	5,143	5,839	6,116	6,017	6,674	7,196	7,405	17,334	21,679	27,292	31,964
Operating expenses	-1,792	-1,841	-1,925	-1,964	-2,053	-2,107	-2,134	-2,240	-6,989	-7,522	-8,533	-9,414
Operating profit	2,789	3,302	3,914	4,152	3,964	4,567	5,062	5,165	10,344	14,157	18,759	22,550
Non-operating profit	130	121	115	117	121	119	118	119	-154	483	476	474
Pre-tax profit	2,919	3,423	4,029	4,269	4,085	4,686	5,180	5,284	10,191	14,640	19,235	23,024
Income taxes	-662	-782	-917	-1,025	-967	-1,131	-1,165	-1,268	-2,325	-3,473	-4,623	-5,387
Net profit	2,237	2,621	3,091	3,218	3,096	3,532	3,992	3,992	7,866	11,167	14,612	17,637
Net EPS (TWD)	19.87	23.29	27.47	28.59	27.51	31.39	35.47	35.48	69.90	99.23	129.85	156.73
Operating ratios												
Gross margin	51.6%	52.2%	52.8%	53.6%	53.9%	54.2%	54.3%	54.9%	51.3%	52.6%	54.3%	55.3%
Operating margin	31.4%	33.5%	35.4%	36.4%	35.5%	37.1%	38.2%	38.3%	30.6%	34.4%	37.4%	39.0%
Pre-tax margin	32.9%	34.8%	36.4%	37.4%	36.6%	38.0%	39.1%	39.2%	30.2%	35.5%	38.3%	39.8%
Net margin	25.2%	26.6%	27.9%	28.2%	27.7%	28.7%	30.1%	29.6%	23.3%	27.1%	29.1%	30.5%
YoY (%)												
Net revenue	14%	18%	31%	23%	26%	25%	20%	18%	12%	22%	22%	15%
Gross profit	15%	21%	35%	28%	31%	30%	23%	21%	10%	25%	26%	17%
Operating profit	14%	27%	55%	50%	42%	38%	29%	24%	1%	37%	33%	20%
Pre-tax profit	2%	181%	40%	33%	40%	37%	29%	24%	-14%	44%	31%	20%
Net profit	-2%	250%	33%	28%	38%	35%	29%	24%	-15%	42%	31%	21%
QoQ (%)												
Net revenue	-4%	11%	12%	3%	-2%	10%	8%	2%				
Gross profit	-4%	12%	14%	5%	-2%	11%	8%	3%				
Operating profit	1%	18%	19%	6%	-5%	15%	11%	2%				
Pre-tax profit	-9%	17%	18%	6%	-4%	15%	11%	2%				
Net profit	-11%	17%	18%	4%	-4%	14%	13%	0%				

Source: Company, Daiwa forecasts

Lotes: 1-year forward PER bands


Source: TEJ, Daiwa forecasts

Lotes: CPU platform roadmap


Source: Company, Daiwa

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Server CPU ILM shipment (m units)	10.3	11.8	9.1	10.4	11.5	13.8	16.1	17.5
Server CPU Socket shipment (m units)	3.6	7.3	6.0	9.4	11.5	13.9	16.1	17.6
Server CPU socket ASP (USD)	8.7	9.3	9.5	11.3	12.8	15.8	19.2	21.6

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
DT	5,484	7,212	7,139	8,303	8,702	8,404	8,637	8,798
Server	5,577	8,145	6,496	10,295	13,420	19,362	26,441	32,216
Other Revenue	10,330	11,742	10,849	11,490	11,662	13,429	15,146	16,772
Total Revenue	21,392	27,099	24,483	30,089	33,783	41,196	50,224	57,786
Other income	0	0	0	0	0	0	0	0
COGS	(12,835)	(15,161)	(13,002)	(14,320)	(16,450)	(19,517)	(22,932)	(25,822)
SG&A	(2,167)	(2,368)	(2,362)	(2,794)	(3,486)	(3,684)	(4,217)	(4,499)
Other op.expenses	(2,031)	(2,301)	(2,174)	(2,731)	(3,503)	(3,838)	(4,316)	(4,915)
Operating profit	4,359	7,269	6,946	10,245	10,344	14,157	18,759	22,550
Net-interest inc./(exp.)	(14)	(8)	254	471	305	269	261	260
Assoc/forex/extraord./others	195	928	320	1,153	(458)	215	215	215
Pre-tax profit	4,540	8,189	7,520	11,869	10,191	14,640	19,235	23,024
Tax	(1,021)	(1,780)	(1,793)	(2,488)	(2,244)	(3,385)	(4,532)	(5,296)
Min. int./pref. div./others	(47)	(152)	(134)	(104)	(81)	(88)	(91)	(92)
Net profit (reported)	3,472	6,256	5,593	9,277	7,866	11,167	14,612	17,637
Net profit (adjusted)	3,472	6,256	5,593	9,277	7,866	11,167	14,612	17,637
EPS (reported)(TWD)	32.763	58.534	50.238	82.436	69.898	99.233	129.845	156.727
EPS (adjusted)(TWD)	32.763	58.534	50.238	82.436	69.898	99.233	129.845	156.727
EPS (adjusted fully-diluted)(TWD)	32.763	58.534	50.238	82.436	69.898	99.233	129.845	156.727
DPS (TWD)	13.300	14.300	26.000	26.000	41.500	35.000	50.000	65.000
EBIT	4,359	7,269	6,946	10,245	10,344	14,157	18,759	22,550
EBITDA	5,915	9,538	9,338	12,524	12,955	18,374	23,607	28,166

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	4,540	8,189	7,520	11,869	10,191	14,640	19,235	23,024
Depreciation and amortisation	1,555	2,269	2,392	2,279	2,610	4,217	4,848	5,616
Tax paid	(1,021)	(1,780)	(1,793)	(2,488)	(2,244)	(3,385)	(4,532)	(5,296)
Change in working capital	(3,412)	(1,757)	1,192	(2,620)	(1,700)	(2,370)	(3,893)	(3,262)
Other operational CF items	1,027	813	(178)	1,017	(329)	(0)	0	0
Cash flow from operations	2,690	7,733	9,133	10,058	8,528	13,103	15,657	20,083
Capex	(3,632)	(3,678)	(2,659)	(3,749)	(4,976)	(3,502)	(4,269)	(4,912)
Net (acquisitions)/disposals	0	0	(94)	(107)	(62)	0	0	0
Other investing CF items	(359)	(8)	37	(831)	(819)	0	0	0
Cash flow from investing	(3,991)	(3,686)	(2,715)	(4,687)	(5,857)	(3,502)	(4,269)	(4,912)
Change in debt	2,316	1,179	597	2,527	(3,551)	0	0	0
Net share issues/(repurchases)	1,076	0	2,306	0	0	0	0	0
Dividends paid	(1,448)	(1,753)	(2,948)	(3,012)	(4,803)	(3,939)	(5,627)	(7,315)
Other financing CF items	(109)	79	(250)	163	(490)	0	0	0
Cash flow from financing	1,834	(495)	(296)	(322)	(8,844)	(3,939)	(5,627)	(7,315)
Forex effect/others	(82)	235	(25)	478	15	0	0	0
Change in cash	450	3,787	6,096	5,526	(6,159)	5,662	5,762	7,857
Free cash flow	(942)	4,056	6,474	6,309	3,552	9,601	11,388	15,171

Source: FactSet, Daiwa forecasts

Financial summary continued ...

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	3,459	7,169	13,193	18,850	13,529	19,191	24,953	32,809
Inventory	4,091	3,561	2,657	3,418	4,375	4,623	5,432	6,117
Accounts receivable	9,257	11,095	10,117	13,297	14,850	17,161	20,922	24,072
Other current assets	153	265	107	197	480	480	480	480
Total current assets	16,960	22,090	26,075	35,762	33,234	41,456	51,787	63,479
Fixed assets	6,882	8,872	9,130	10,990	13,429	12,713	12,135	11,430
Goodwill & intangibles	206	182	150	217	302	302	302	302
Other non-current assets	2,372	2,237	2,598	3,242	3,468	3,468	3,468	3,468
Total assets	26,419	33,381	37,952	50,211	50,433	57,939	67,692	78,679
Short-term debt	1,142	1,907	1,580	3,765	225	225	225	225
Accounts payable	2,630	2,360	1,828	2,842	3,678	3,868	4,544	5,117
Other current liabilities	3,232	3,831	3,446	4,575	5,102	5,102	5,102	5,102
Total current liabilities	7,004	8,098	6,854	11,182	9,005	9,195	9,871	10,444
Long-term debt	942	282	934	289	294	294	294	294
Other non-current liabilities	419	488	783	781	719	719	719	719
Total liabilities	8,365	8,868	8,571	12,251	10,018	10,208	10,885	11,457
Share capital	1,060	1,069	1,113	1,125	1,125	1,125	1,125	1,125
Reserves/R.E./others	15,803	21,743	26,660	34,845	37,318	44,547	53,532	63,855
Shareholders' equity	16,862	22,812	27,773	35,970	38,444	45,672	54,658	64,980
Minority interests	1,192	1,701	1,608	1,990	1,971	2,059	2,150	2,241
Total equity & liabilities	26,419	33,381	37,952	50,211	50,433	57,939	67,692	78,679
EV	255,271	252,175	246,383	242,648	244,415	238,841	233,170	225,405
Net debt/(cash)	(1,375)	(4,980)	(10,679)	(14,796)	(13,010)	(18,672)	(24,434)	(32,290)
BVPS (TWD)	159.113	213.439	249.467	319.635	341.618	405.850	485.696	577.423

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	23.7	26.7	(9.7)	22.9	12.3	21.9	21.9	15.1
EBITDA (YoY)	22.0	61.3	(2.1)	34.1	3.4	41.8	28.5	19.3
Operating profit (YoY)	17.6	66.7	(4.4)	47.5	1.0	36.9	32.5	20.2
Net profit (YoY)	27.1	80.2	(10.6)	65.9	(15.2)	42.0	30.8	20.7
Core EPS (fully-diluted) (YoY)	24.1	78.7	(14.2)	64.1	(15.2)	42.0	30.8	20.7
Gross-profit margin	40.0	44.1	46.9	52.4	51.3	52.6	54.3	55.3
EBITDA margin	27.6	35.2	38.1	41.6	38.3	44.6	47.0	48.7
Operating-profit margin	20.4	26.8	28.4	34.0	30.6	34.4	37.4	39.0
Net profit margin	16.2	23.1	22.8	30.8	23.3	27.1	29.1	30.5
ROAE	22.9	31.5	22.1	29.1	21.1	26.6	29.1	29.5
ROAA	15.2	20.9	15.7	21.0	15.6	20.6	23.3	24.1
ROCE	25.2	31.0	23.7	27.7	24.9	31.7	35.5	36.1
ROIC	24.0	31.4	27.7	38.7	31.9	38.5	46.7	51.6
Net debt to equity	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Effective tax rate	22.5	21.7	23.8	21.0	22.0	23.1	23.6	23.0
Accounts receivable (days)	140.8	137.1	158.1	142.0	152.1	141.8	138.4	142.1
Current ratio (x)	2.4	2.7	3.8	3.2	3.7	4.5	5.2	6.1
Net interest cover (x)	304.6	874.9	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Net dividend payout	50.4	43.6	44.4	51.8	50.3	50.1	50.4	50.1
Free cash flow yield	n.a.	1.6	2.5	2.5	1.4	3.8	4.5	5.9

Source: FactSet, Daiwa forecasts

Company profile

Founded in 1986 and listed on the Taiwan Stock Exchange in 2007, Lotes is one of the world's leading connector vendors specialising in CPU socket/ILM and connectors, such as DDR, PCIe, SATA, and Type-C, with most of its production capacities at its Guangzhou, Zhongshan and Suzhou plants. Its superior manufacturing capability and strong client relationships are the key differentiators that make Lotes stand out from its competitors. Since the PC market became saturated from 2015, Lotes has focused on penetrating non-PC connector businesses, such as connectors for servers, automotive and industrial, and new types of cables (eg, Thunderbolt cable).

ESG analysis

ESG risks

Risks	Management	Analyst comments
G	Executive/board quality	1 Lotes' board consists of 7 directors, including 3 independent directors. The total number of directors is slightly lower than other listed companies in our coverage. Lotes held 7 board meetings in 2024 and the actual attendee rate was 97%. Although the Chairman and CEO are not the same person, they are, in fact, brothers and the co-founders of Lotes. It gives us a sense that Lotes is still a family enterprise, which is likely a negative for the board and executive management. That said, the background of independent directors is diversified with expertise in technology and management. We see it as a positive for the board's quality.
	Capital management	2 Lotes declared a DPS of TWD41.5 in 2025, representing a payout ratio of 50%. Being a leading connector vendor for applications such as desktops, notebooks and servers, Lotes grew rapidly along with its key clients (Intel and AMD) on strong technical capabilities and higher growth rate from the server market. The solid revenue CAGR in the past decade required higher working capital and continuous capex to expand its capacity, which could also be the culprit for its slightly lower payout ratio compared with other electronic component makers. Having said that, we think Lotes' higher revenue growth should partially offset the slightly lower payout ratio.
	Related party & transaction	1 There are no related-party transactions, including both sales and purchases, in 2024. We see limited risk from related party transactions.
S	Supply chain management	2 Lotes constructed the RBA system in December 2010 and requires its suppliers to meet the standards of no child labour, no forced labour, treat employees with respect and dignity, and care for its labourers' safety and health. Lotes hosted a yearly supplier conference to promote the RBA guidelines to its suppliers from 2013. During the same period, Lotes also asked its suppliers to sign the RBA Code of Conduct. For better supply chain management, Lotes will conduct a yearly audit and regular business review and hold the yearly supplier conference as measures. Lotes compile the "Social Responsibility Commitment Letter" in 2021, to extend social responsibility concept and requirements to the supply chain. For "green" purchase management, Lotes passed the IECQ QC 08000 in 2008. Lotes will ask its suppliers to follow the RoHS 2.0, HSF, and REACH guidelines to avoid using hazardous materials. In 2023, Lotes completed conflict minerals due diligence for 29 direct suppliers, achieving a 100% response rate. Overall, Lotes believes it has constructed a comprehensive system from system certification (eg, ISO 9001, etc), product design, supply chain management, and production techniques to ensure that the entire manufacturing process from raw materials to end products are all related to green concepts. All products from Lotes are now 100% under RoHS standards.
S	Data security	2 Lotes established a team to implement data security regulations planning and maintenance. Moreover, they monitor vulnerability in the information systems each year. There was no data security incident in 2024.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 26 Mar 2026

Source: Daiwa, Company

Important Disclosures and Disclaimer

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Rating	Percentage of total
Buy*	73.39%
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Source: Daiwa

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